Trade management & execution

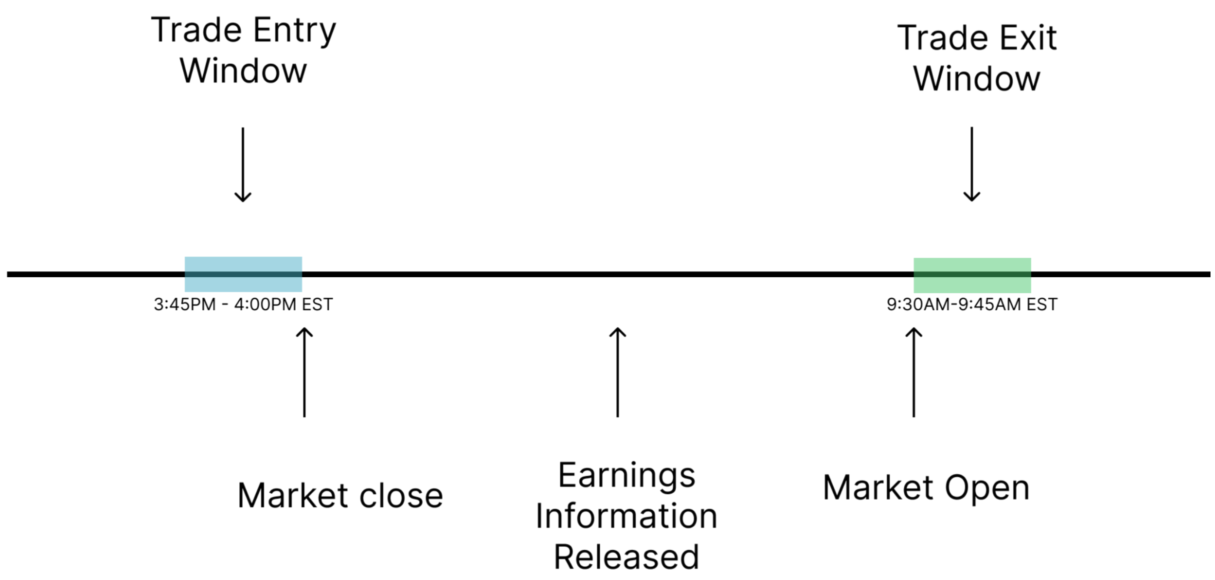
Our strategy is based on trading *the earnings event, and the earnings event exclusively.*

This means that every detail of our trade and execution aims to isolate the earnings event and trade the difference between the implied and realized move.

We already covered the structure we are going to trade in depth. In this section we will cover how to execute and manage this trade flawlessly.

The core rules for managing and executing earnings trades:

1. **Trade tight to the event:** Open the trades right before the market closes. Exit the trades shortly after the market opens the following day.
2. **Get good fills:** Do not rush. Do not just hit the bid or the ask. Work your orders, and get good fills.
3. **Time your exit correctly:** If the stock moves less than implied or just slightly higher, wait for the implied volatility to crush before closing. If the move is much higher than implied, exit immediately.



Let's break down each of these rules so you have a thorough understanding of them.

Rule 1: Trade tight to the event.

Why do we wait until just before the market close to open trades?

The reason that we are waiting until right before the market closes to open up our trades is because everything that happens around the earnings event is *not the earnings event.*

"I want to only trade the earnings event, so what is the easiest way to make sure that I don't have exposure to other stuff?"

One answer would be to open the trade right before the event takes place. So this is literally what we do!

Why do we close out the trade the morning after the earnings event?

The reason we close out right in the morning after earnings is for the same reason we open the trade right before the close the day before the event.

We only have a view on the event. So win or lose, we get out when the event is over.

Loss aversion trap: Sometimes, usually if it's a losing trade I'll see traders hold the position the day after the earnings event and hope (or in the worst case they convince themselves this actually works) that the stock will go back into the body of the position they sold.

This is a fatal flaw. We have to remember that the degree of control we have over any individual scenario is basically zero. *Boring, simple strategies* are what we know works. So we stick to that. If we are too attached to the outcome of a single trade, we haven't been placing enough trades and we have way too much riding on this singular outcome. This is why we chat about our trades in the community. To call each other on our BS and avoid getting in our own way.

Rule 2: Get good fills.

Just like with every strategy, good earnings traders are conscious of the costs they pay.

The most important consideration with earnings trade execution is the liquidity in the morning. Before market close, the bid/ask spread should be pretty tight. Just follow your normal procedure for getting a fill (start at the ask, and work your order down).

But in the morning, the spread may not be as tight. Think about it. So much new information just entered the market. Market makers aren't going to immediately know what the fair value is, and this means they may establish a wider bid/ask than usual as they wait for other trader's orders to help them establish a better spread.

This means that if you are too panicked in the morning, you run the risk of getting bad fills. Bad fills are the most common way that traders destroy a great edge. So we need to be cautious of this.

The easiest way to handle this is to take a deep breath and wait. If the spreads are wide, *just do nothing.* See if they begin to tighten after a few minutes.

For reference, most of my trades are closed out between 5 and 20 minutes after the market opens.

Rule 3: Time your exit correctly.

"I notice that right in the morning, the stock jumps, but the implied volatility has not come down which means that the implied move of the earnings event is still baked into the option!"

Should I be waiting for that implied volatility to come down, or should I just be closing out the trade right away?

What it really comes down to is what exposures do we have in the morning.

Let's do an example to understand this.

Example: Managing your trade exit.

ABC stock has an earnings event.

- The implied move is 10%.
- We sell an at the money straddle.

In the morning, a few different scenarios could unfold.

- Scenario 1: realized move is less than implied move (winner).
- Scenario 2: realized move is close to/slightly greater than implied move (small loser).
- Scenario 3: realized move is much greater than implied move (big loser).

In each of these scenarios, we still have similar exposures.

1. We make money as time passes and if implied volatility comes down.
2. We lose money if there are bigger than expected moves or if implied volatility goes up.

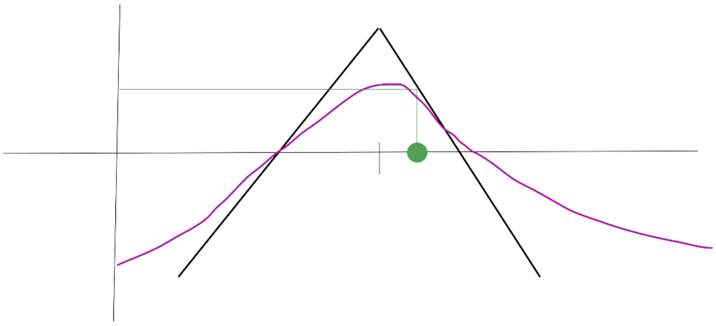
But what changes in each of these scenarios is our *sensitivity to each of these exposures*.

The reason that we want the implied volatility to come down is because there should be a big drop now that the event is over (all the volatility from the earnings event that was being priced in is gone).

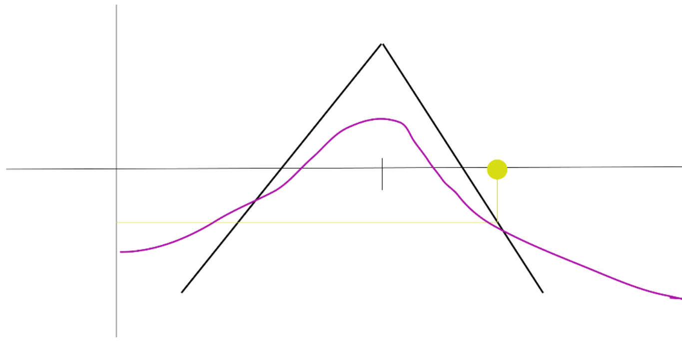
We care about this because *if we have a lot of Vega, then our PnL can improve significantly from this drop*.

In Scenarios 1 & 2, we still have lots of vega exposure and so in these cases, rather than closing out *as soon as liquidity makes it possible*, we actually want to hold just a bit longer until the implied volatility comes down.

Scenario 1: Stock moves less than implied (winner)
Main exposures: Vega, Gamma, Theta, Delta



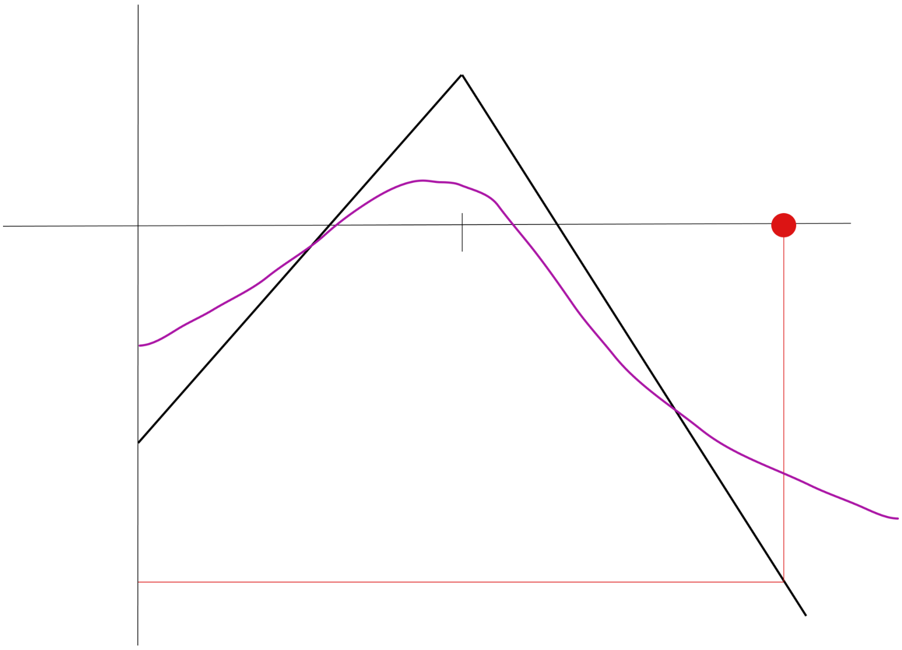
Scenario 2: Stock moves more than implied (small loser)
Main exposures: Delta Vega, Gamma, Theta,



But in Scenario 3, we want to get out of the trade right away. When the stock has a massive move, even if the implied volatility hasn't come down, *we are now so far out of the money that we have very little vega exposure*. Meaning that relative to the losses on the position (and the impact on our trade from our delta exposure), the change we would wait for in implied volatility is basically meaningless.

Scenario 3: Stock moves much more than implied (big loser)

Main exposures: Delta



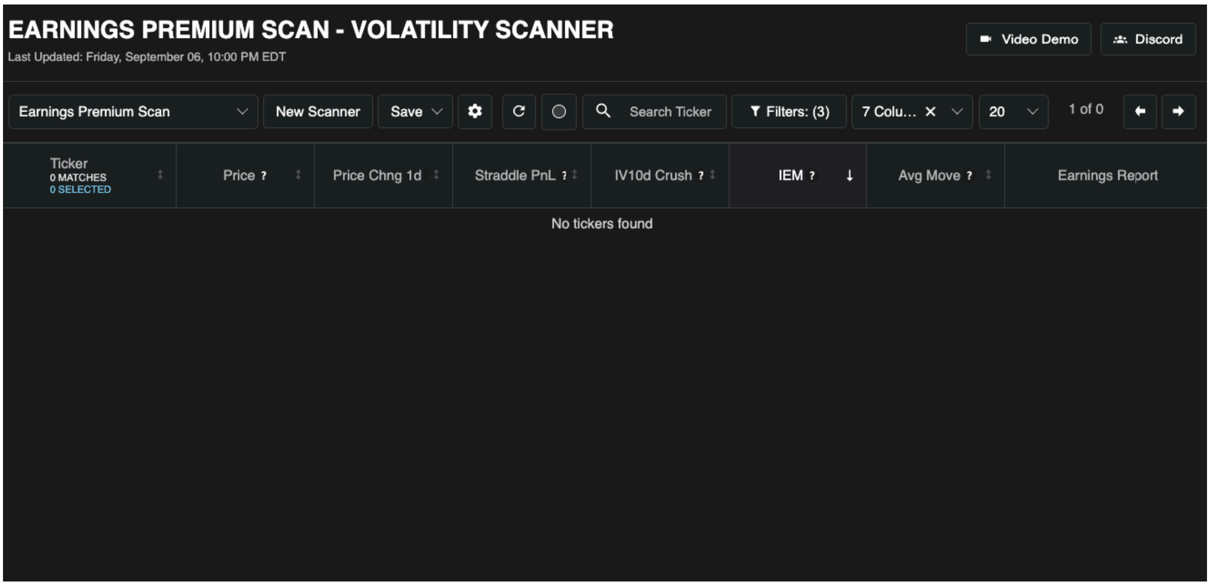
If the realized move is less than or slightly more than implied, wait for IV to crush.

If the realized move is much higher than implied, just get out of the trade.

How do I know how much the implied volatility is supposed to crush?

Good question! Calculating this is actually pretty complicated, but once again, it's handled for you in the PA Terminal.

This data point is shown to you on the scanner for each ticker that has earnings today.



You can use this to estimate how much IV should decrease. If the IV before the event was 50%, and the crush is 30%, then IV should go to around 20% after the event.

If the IV has crushed for the most part, let's say to 25%, you don't need to be waiting for the last couple of points to get out. Just use this as a benchmark for what to expect and if you see an IV crush in the ballpark of what we forecasted it to be, you can close out with confidence.

Up next: how to use the earnings dashboard to analyze trades

The next section is the final one in this course. Once we complete it, you'll know everything about both of our strategies and be ready to start selling options properly.

The final chapter will talk about how to analyze individual trades using the earnings dashboard in the Predicting Alpha Terminal. This dashboard contains backtests, historical trade breakdowns, and all the key metrics you need to thoroughly analyze each earnings trade as they come up. It's powerful and you need to know how to use it.

Click into the next chapter and let's jump into it!